NDAQ Long

Kechun Wu | 19 September 2026 | Recommendation: BUY NDAQ, 12-month target $116

A. Summary

Ticker	NDAQ (Nasdaq, Inc.)	Price	$93.54 (close 18-Sep-2026)
GICS Sector	Financials	YTD Stock Performance	-3.7%
GICS Industry	Capital Markets (sub-industry: Financial Exchanges & Data)	% Below 52-Week High	8.1% ($101.79, 16-Jan-2026)
Market Cap ($billion)	$52.3	% Above 52-Week Low	22.2% ($76.55, 30-Jun-2026)
Country	United States	Forward P/E (or preferred multiple)	20.7x NTM (20.0x FY27E)
Recommendation	**BUY. 12-month price target $116 (+24% upside; ~26% total return incl. 1.3% dividend yield)**		

Data as of 18-Sep-2026 close. Sources: Bloomberg (price, forward P/E), LSEG Workspace (market cap, 52-week range, YTD). Supporting Excel model attached.

Thesis in one line: the market is pricing Nasdaq as an exchange carrying AI-disruption risk, while its operating data shows a recurring financial-infrastructure software business for which AI is a tailwind. I expect the February 2026 de-rating to partially reverse as the Q3/Q4 2026 prints and 2027 guidance show recurring growth holding through known tough comparisons.

B. Business Overview

a. How Nasdaq Makes Money

Nasdaq earns 77% of net revenue from non-trading "Solutions" (financial software, data, index licensing and listings) and 23% from trading (Market Services). Contractual annualized recurring revenue (ARR) of $3.26bn (+12%) represents more than half of annualized net revenue; the rest of Solutions is mainly asset-based Index fees and listings. Q2 2026 net revenue was $1.50bn (+15% y/y).

Segment / division	Q2-26 revenue	Y/Y	What it sells / how it is paid
Capital Access Platforms	**$621m**	**+19%**	ARR +8%; segment op. margin 63%
Data & Listing Services	$217m	+10%	Market data subscriptions; listing fees (initial fees amortized)
Index	$271m	+38%	Licensing fees on ~$1.1trn of ETP AUM plus futures/options licensing
Workflow & Insights	$133m	+6%	eVestment, Data Link, Boardvantage, IR Insight subscriptions
Financial Technology	**$539m**	**+16%**	ARR +16%; segment op. margin 46%
Financial Crime Mgmt (Verafin)	$98m	+21%	SaaS fraud/AML for 2,800+ institutions; 110% net revenue retention
Regulatory Technology	$120m	+15%	AxiomSL regulatory reporting; trade surveillance
Capital Markets Technology	$321m	+15%	Calypso, market infrastructure tech, trade management services
Market Services (net)	**$340m**	**+11%**	Trading fees net of rebates (US/EU equities, options); op. margin 64%
Total net revenue	**$1,500m**	**+15%**	Non-GAAP op. margin 57%; EBITDA margin 60%

Source: Q2 2026 10-Q (disaggregated revenue; reported y/y growth); Q2 2026 earnings call (23-Jul-2026) for ARR, margins and retention. Organic growth per the call: CAP +18%, FinTech +15%, Market Services +11%, total +15%; Index +35% excluding a $6m one-time benefit.

b. Competitive Position

Nasdaq competes in three markets that map to its reporting segments. The competitive position is strongest in the two Solutions segments (77% of net revenue) that drive the thesis:

– **Financial Technology (36% of revenue).** Verafin competes with legacy AML/fraud vendors (e.g., NICE Actimize, Oracle, SAS) and newer AI-native entrants; AxiomSL with regulatory-reporting providers such as Wolters Kluwer; Calypso with Murex and in-house builds. Commercial momentum is strong: 11 Verafin enterprise signings year-to-date already exceed all of 2025, net revenue retention is 110%, and management reports unchanged sales cycles, contract lengths and bookings mix.

– **Capital Access Platforms (41%): index, data, listings and workflow.** Index licensing competes with S&P Dow Jones Indices, MSCI and FTSE Russell; the Nasdaq-100 franchise is widening distribution (new NDX ETFs from BlackRock and State Street; QQQ cross-listed in Japan), with record net inflows of $109bn over the last twelve months. Data enterprise licenses grew 34%, helped by AI use cases. In listings, Nasdaq competes with NYSE and won 74% of eligible US IPOs in Q2, including SpaceX ($86bn); listing fees are amortized, so the benefit shows up gradually.

– **Market Services (23%): trading.** Competes with ICE (NYSE), Cboe and off-exchange venues; US options capture is under pressure from new order-flow consolidators. New competitive vectors (crypto perpetual futures, prediction markets) weighed on exchange stocks in June 2026; management estimates direct revenue overlap at less than 1% of total revenue even in an extreme scenario.

Sources: Q2 2026 earnings call; Q2 2026 10-Q. Segment shares based on Q2 2026 net revenue ($539m, $621m, $340m of $1,500m).

c. Strategy and Capital Allocation

i. Medium-Term Strategy

Management runs an "Expand, Evolve, Transform" framework: deepen wallet share through cross-selling ("One Nasdaq"), modernize markets, and embed AI across products. Medium-term outlook (Investor Day, Feb-2026): Solutions organic growth of 9-12% (FinTech 10-14%, Capital Access Platforms 6-10%) and expense growth of 5-8%, supported by a $100m AI-driven efficiency program by 2027.

Near-term strategic milestones include 23-hour trading from 6-Dec-2026 with new consolidated data products, Nasdaq-100 event options in Q4 2026, tokenized equities with Kraken in early 2027, and AI monetization via embedded pricing, freemium-to-paid modules (Verafin agentic workers) and a Data Link MCP upcharge.

ii. Capital Allocation

Nasdaq converts ~97% of earnings to free cash flow ($2.2bn LTM). Priorities are the dividend, deleveraging toward a mid-to-high 2x gross leverage target, then buybacks, with only bolt-on M&A:

– **Dividend:** $0.31/quarter (raised 14.8% in April 2026); ~31% payout.

– **Buybacks:** $903m in H1 2026 vs $616m in all of 2025; a $200-250m accelerated repurchase completes in Q3 2026; $2.5bn authorization remaining. Diluted shares fell 1.9% y/y in Q2.

– **Balance sheet:** gross leverage fell to 2.6x from 2.8x in Q2 after ~$162m net debt repayment.

– **Portfolio:** small, strategic moves (Dasseti acquisition, sale of Fund Secondaries, $100m investment in Kraken parent Payward); no large M&A in plan.

Sources: Q1 and Q2 2026 earnings releases and call.

iii. Other Considerations

– **Classification.** Nasdaq sits in the Financial Exchanges & Data sub-industry alongside S&P Global, Moody's and MSCI, but trades almost exactly like the exchange peers: its forward P/E premium to ICE/CME/Cboe is 1.07x, unchanged since January.

– **Ownership.** Investor AB holds ~10.5% (LSEG), a stable strategic holder.

– **Listings momentum.** Record H1 2026 IPO proceeds ($111bn); Anthropic has reportedly chosen Nasdaq for a potential record IPO (Bloomberg, 13-Sep-2026; unconfirmed). Listings revenue is modest and amortized, but the ecosystem effect supports data and index.

– **Macro.** The Fed raised rates on 16-Sep-2026; higher rates weigh on long-duration multiples but typically support trading activity.

C. Investment Thesis

a. What the Market Is Missing

My view: the market is pricing Nasdaq as an exchange carrying AI-disruption risk, while its operating data describes a financial-infrastructure software and data business whose demand AI has not impaired. The same earnings deserve a higher multiple once that risk is shown to be lower than priced.

Observation. In the week of the February 2026 AI-driven selloff in software and data stocks, Nasdaq's forward multiple fell as much as the data/analytics names while its exchange peers were more resilient (-3.5% to +3.7%):

Forward P/E (Bloomberg, blended 12m)	30-Jan-26	6-Feb-26	Change
Nasdaq (NDAQ)	**24.7x**	**21.6x**	**-12.7%**
S&P Global	24.7x	20.5x	-17.0%
Moody's	30.9x	27.0x	-12.4%
MSCI	31.0x	28.4x	-8.5%
ICE	22.9x	22.1x	-3.5%
CME	24.7x	25.7x	+3.7%
Cboe	23.3x	23.9x	+2.4%

Source: Bloomberg BEST_PE_RATIO (blended forward 12 months), weekly.

What today's price implies. At 20.7x forward earnings Nasdaq sits at the 20th percentile of its 3-year range (average 22.7x) and at a 1.07x premium to US exchanges, although 77% of revenue is non-trading. LSEG StarMine estimates that the current price implies long-term EPS growth of 11.1%; this is an output of StarMine's valuation assumptions, not an observable market forecast. It compares with LSEG's I/B/E/S analyst long-term growth estimate of 17.1% (Bloomberg's estimate, from a different contributor set, is 19.9%) and my own FY26-28 EPS CAGR of ~14% (a shorter, two-year horizon). Allowing for these differences in provider and horizon, the StarMine result is consistent with my interpretation that the price discounts a slowdown the operating data does not yet show, rather than proof of it. Part of the compression since February is sector-wide, which is why I target only a partial reversal.

Evidence that the risk is lower than priced. Demand has not been impaired: FinTech ARR +16% and Verafin revenue +21% in Q2 2026, 110% net revenue retention, and management reports unchanged sales cycles, contract term lengths and bookings mix. 11 of the 15 points of Q2 revenue growth came from company-driven "alpha" rather than market "beta". AI is also adding demand at the margin (data enterprise licenses +34%; more than a quarter of eVestment bookings AI-linked; 750 clients on Verafin's AI agents), although incremental AI revenue has not been separately quantified and I assume no material contribution. The thesis rests on the first point, not on AI monetization.

Why the discount persists. (1) The February move was a sector-level de-risking of anything labeled "data" or "software"; the AI debate has not been settled by one or two quarters of data. (2) Headline results are noisy: record trading volumes, a $6m Index one-off and the SpaceX IPO obscure the recurring core. (3) Q3/Q4 2026 face tough upfront-revenue comparisons in Capital Markets Technology (ARR is unaffected), so reported FinTech growth will likely slow on the surface. (4) The June 2026 perpetual-futures scare reinforced the exchange lens.

What changes the assessment. Investors need to see durability rather than one strong quarter: FinTech ARR holding mid-teens through the comparisons, Verafin enterprise contracts converting to revenue, and a 2027 outlook that keeps Solutions growth in or above the 9-12% range with expenses inside 5-8%. Each would reduce the perceived risk to the earnings stream the market already expects, which is what justifies paying more for the same EPS.

i. What Proves the Thesis

– **Q3 2026 results (19-21 Oct):** FinTech ARR holding mid-teens despite tough upfront-revenue comparisons; first conversion of H2 2025 Verafin enterprise signings (~12-month onboarding).

– **Q4 2026 results and 2027 guidance (late Jan 2027):** Solutions growth in or above 9-12% with expenses inside 5-8%; potential first disclosure of AI revenue.

– **Capital return:** ASR completion and FCF-funded buybacks (~2% annual share count reduction).

– **Market-structure change monetized through Solutions (unmodeled upside):** 23-hour trading launches with new consolidated data products (TotalView Plus / Basic Plus) and rising international data demand; tokenized collateral is a new paid Calypso module (piloted with two large asset managers in July); a growing pipeline of venues seeking 24/5-24/7 infrastructure. These show Nasdaq earning from market evolution through software and data, not only trading.

b. Earnings Model and Key Drivers

I built a driver-based non-GAAP EPS model (attached). It reconciles to reported non-GAAP EPS for FY2025 ($3.48) and H1 2026 ($2.03). My FY27 EPS is in line with consensus, so the pitch does not rely on an earnings beat; it relies on the multiple.

$m, non-GAAP	FY2025A	FY2026E	FY2027E	FY2028E
Solutions revenue (CAP + FinTech)	3,987	4,599 (+15.4%)	5,097 (+10.8%)	5,581 (+9.5%)
Market Services, net	1,201	1,280 (+6.6%)	1,328 (+3.7%)	1,354 (+2.0%)
Net revenue	**5,249**	**5,887 (+12.2%)**	**6,424 (+9.1%)**	**6,935 (+8.0%)**
Operating expenses	2,330	2,550	2,716 (+6.5%)	2,892 (+6.5%)
Operating margin	55.6%	56.7%	57.7%	58.3%
Diluted shares (m)	578.6	567.1	556.6	545.5
EPS	**$3.48**	**$4.09 (+17.5%)**	**$4.69 (+14.6%)**	**$5.28 (+12.5%)**
Consensus EPS (Bloomberg)		$4.13	$4.68	$5.33

FY28 bridge: ~8% revenue growth (Solutions at the lower half of its 9-12% range, Market Services +2%) and expenses at the 6.5% framework mid-point give ~9% operating income growth; lower interest from debt repayment lifts net income ~10%; a ~2% lower share count from FCF-funded buybacks takes EPS growth to ~12.5%.

Main drivers (FY2027E growth and anchor):

Line	FY27E growth	Anchor
Financial Crime (Verafin)	+20.8%	ARR +17% plus enterprise go-lives; below management's mid-20s medium-term target
Regulatory Technology	+12.8%	ARR +14%, slower services/upfront
Capital Markets Technology	+11.0%	ARR +17%, not carried through: tough upfront-revenue comparisons, flat non-recurring
Index	+11.4%	Avg AUM $1.19trn (flat markets + $100bn flows) x 9.8bp blended yield
Data & Listings / Workflow	+7.0% / +6.0%	In line with or below ARR growth (9% / 6%)
Market Services	+3.7%	Volumes up, US options capture down; no credit for 23/5 or event options
Expenses	+6.5%	Mid-point of 5-8% framework; AI efficiencies argue against the top end

Sensitivities (FY27E EPS, 25% of incremental revenue absorbed by variable costs): +1pt Solutions growth = +$0.05; +1pt expense growth = -$0.035; Market Services +/-10% = +/-$0.14. A 10% change in Index AUM moves revenue by ~$87m, assuming ~75% of Index revenue is asset-linked (an analyst assumption; $70-105m for 60-90%). Solutions growth is the assumption that matters most.

Sources: 2025 10-K, Q2 2026 10-Q, Q1/Q2 2026 releases and call, Nasdaq monthly volume statistics; consensus from Bloomberg (18-Sep-2026).

c. Valuation

NDAQ trades close to the exchanges and below its own history despite 77% non-trading revenue.

Forward P/E (NTM, 18-Sep-2026)	Multiple	Long-term EPS growth	P/E / growth
Nasdaq (NDAQ)	**20.7x**	**19.9%**	**1.0x**
NDAQ 3-year / 5-year / 10-year average	22.7x / 22.3x / 20.6x		
NDAQ pre-selloff (27-Jan-2026)	25.3x		
ICE / CME / Cboe (average 19.4x)	18.0x / 21.7x / 18.4x	14.1% / 5.5% / 18.6%	1.3x / 4.0x / 1.0x
Moody's / MSCI	25.5x / 25.5x	12.6% / 14.2%	2.0x / 1.8x
S&P Global / Tradeweb / Verisk	20.6x / 23.6x / 20.9x	13.3% / 19.6% / 12.6%	1.5x / 1.2x / 1.7x
Revenue-weighted peer reference (77% info-services avg 23.2x, 23% exchanges 19.4x)	22.3x		

Source: Bloomberg (BEST_PE_RATIO blended forward 12m; BEST_EST_LONG_TERM_GROWTH, which rests on few estimates). Deutsche Boerse excluded: multiple distorted by reported Euronext merger interest (FT, 15-Sep-2026).

Why 22.7x. This is my valuation judgment. It rests on recurring growth (FinTech ARR +16%, Solutions within or above its 9-12% range), improving margins (~58% operating margin by FY28E) and leverage falling toward the mid-to-high 2x target. It equals Nasdaq's own 3-year average, so it requires only a partial reversal of the February discount, not a return to the pre-selloff 25.3x. A revenue-weighted peer comparison provides a rough 22.3x valuation reference, although differences in segment profitability, capital intensity and business mix limit its precision.

Price target: 22.7x x September-2027 NTM EPS of $5.13 = $116 (+24%; ~26% total return). Forward EPS at the target date is 25% FY27E + 75% FY28E. Roughly half of the return comes from earnings growth alone (+13% at

today's multiple) and half from re-rating (+11%). To earn more than 22.7x, Nasdaq needs mid-teens FinTech ARR through the comparisons, visible Verafin conversion, disclosed AI monetization and continued deleveraging.

i. Scenarios and Alternative Multiples

Operating scenarios (each changes segment growth, Index flows and markets, expenses, FY28 growth and the multiple):

Scenario	FY27E EPS	NTM P/E	12m value	Return	Prob.
Downside: enterprise go-lives slip, -15% tech drawdown, volumes normalize	$4.32	19.4x (exchange avg.)	$89	-5%	25%
Base	**$4.69**	**22.7x**	**$116**	**+24%**	50%
Upside: Verafin accelerates, strong flows, AI monetization visible	$4.89	25.3x (pre-selloff)	$137	+46%	25%
Probability-weighted (expected value)			**$115**	**+23%**	

These are illustrative operating cases, not bounds: outcomes below $89 are possible, for example in a broad market selloff or if AI disruption becomes visible in bookings.

Value at alternative multiples on September-2027 NTM EPS: exchange average 19.4x = $99 (+6%); today's multiple = $106 (+13%); 5-year average 22.3x = $114 (+22%); pre-selloff 25.3x = $130 (+39%). With no re-rating, earnings growth alone still delivers a positive return.

Street context: 18 Buy / 3 Hold / 0 Sell with a mean target of $111.89 (Bloomberg). The Street is positive, but the price still implies slower growth than analysts forecast; my target is modestly above consensus and rests on that gap closing.

D. Risks

Risk	What would break	Mitigant / what I monitor
AI disruption of FinTech and data	Slower bookings, pricing pressure, churn at Verafin or eVestment	Sales cycles, NRR (110%), ARR; proprietary consortium data across 2,800 institutions
Perpetual futures / prediction markets	Volume migration; sentiment derating (as in June 2026)	Mgmt: <1% revenue overlap even in extreme case; equity perps need joint SEC/CFTC approval
Index market sensitivity	A 10% AUM decline cuts ~$87m revenue (~$0.09 EPS)	Record inflows ($109bn LTM); diversified product launches
Q3/Q4 optics	Calypso upfront-revenue comparisons slow reported FinTech growth; separately, a $5m regulatory fine booked as a contra-expense in Q3 2025 makes the Q3 expense comparison harder	Both flagged by management; anchor on ARR, not reported FinTech growth or quarterly margins
Expense creep	2026 opex guide raised twice; margin gains stall	2027 guide vs 5-8% framework; $100m AI efficiencies
AI monetization unproven	No separately quantified AI revenue; re-rating stalls	Freemium-to-paid conversion; pricing actions
23/5 launch execution	Delay (approvals, industry/SIP readiness) or operational issues	Launch "on track" for 6-Dec per management; small near-term revenue
Market Services capture / volumes	Lower options capture, volume normalization	Monthly volume and capture statistics
Regulation	Reg NMS / Order Protection Rule changes; deregulation reducing compliance spend	Also an opportunity to compete off-exchange
Macro and rates	Higher rates compress multiples (Fed hike 16-Sep-2026)	Trading activity typically benefits from volatility

Exit Triggers

I would exit or reverse the position if any of the following occurs:

– FinTech organic ARR growth below 13% for two consecutive quarters (the recurring-growth thesis is failing).

– Financial Crime revenue growth still at or below its ~17% ARR growth by the Q4 2026 print (no enterprise conversion).

– 2027 expense guidance implying growth above 8% without matching revenue upside.

– The premium to US exchanges narrowing below 1.00x after two in-line prints (the market rejects the thesis).

– Risk-management rule: a sustained close below the June 2026 low of $76.55 (roughly a 1.5-standard-deviation 3-month move) triggers a full re-underwriting; I exit unless fundamentals explain the move.

On the upside, I would reassess if the stock reaches ~25x NTM earnings (pre-selloff level) without a matching improvement in fundamentals.

E. Catalysts (Next Six Months)

Date	Event	Comment
23-Sep	President Tal Cohen, Autonomous Future of Commerce Symposium	AI / market-structure messaging
24-Sep	CFO Sarah Youngwood, BofA Financials CEO Conference	Possible Q3 trend commentary

Date	Event	Comment
Q3 (by 30-Sep)	$200-250m accelerated share repurchase completes	EPS support
19-Oct (LSEG) / 21-Oct est. (Bloomberg)	Q3 2026 earnings (date to be confirmed)	Options imply a 2.37% move vs 1.71% average; key test of ARR through tough comparisons
Q4 (reported, unconfirmed)	Anthropic IPO on Nasdaq, as soon as October (Bloomberg, 13-Sep)	Listings/data ecosystem; IPO-related marketing expense in that quarter
Q4	Nasdaq-100 event options launch (SEC-approved)	New product; modest revenue
6-Dec	23-hour trading session launch; TotalView Plus / Basic Plus data products	Data monetization; low initial overnight volumes
Late Jan 2027	Q4 2026 results and 2027 expense guidance	Main re-rating catalyst
Early 2027	Tokenized equities with Kraken (non-exclusive)	Optionality; full Nasdaq Equity Token framework expected Q2 2027 (outside window)
Ongoing	SEC review of Reg NMS / Order Protection Rule	Could let Nasdaq compete off-exchange

Sources: LSEG and Bloomberg event calendars; Nasdaq press releases; Q2 2026 earnings call; Bloomberg EE (implied move).

F. Near-Term View (3 Months)

It remains a BUY, but with lower conviction and a smaller expected return. The 3-month window contains the Q3 print, which faces known tough comparisons (Calypso upfront revenue and a $5m expense credit in Q3 2025) and could look soft on the surface. Most of the re-rating should come with 2027 guidance in late January, just outside the window. Positives inside the window: the ASR, strong Q3 Index AUM, possible large IPOs and the 23/5 launch. I expect a modest positive 3-month return (~+2.5%) rather than the full target.

a. Expected Trading Range

Horizon	Implied vol (ATM)	ATM-volatility-based (zero drift)	My view
3 months	26.5%	$78 - $110	$80 - $113 (expected $96)
12 months	28.0%	$63 - $129	$77 - $158 (expected $115)

Approximate 80% (10th-90th percentile) intervals for the terminal price, not the path, using a lognormal distribution with Bloomberg ATM implied volatility (18-Sep-2026). The zero-drift column sets the expected price at today's; my view sets the expected (mean) price at +2.5% (3 months) and the probability-weighted scenario value (12 months). Scenarios are a separate tool, not an 80% interval.